

CBKD pitch deck

PITCH — CBKD — VERDICT

PROPOSED — PENDING ADJUDICATION — no position, no entry before the 3Q26 print (~10 Nov 2026, date unconfirmed); the \$2.20 alert is to be disarmed, and the reopen is a print gate, not a price gate.

What we believe

Commercial International Bank (Egypt) — the GDR trades as CBKD, the local line as COMI on the Egyptian Exchange at **139.28 EGP** (26 Aug 2026 close) — is a well-run, genuinely fortress-capitalised bank that is **not** a mispricing. It is a carry position wearing a franchise costume.

Three things we now believe, in order of confidence:

1. **The original thesis is dead as an edge, alive as diligence.** The brief was built on refuting a scary story: “Egyptian devaluation and capital controls destroy dollar returns for Egyptian financials.” We refuted it. So did the bond market, publicly, before us — Egypt’s dollar sovereign curve yields **8.24%** at a **301bp** spread to Treasuries, and the sovereign index returned **+22.67%** over twelve months. Nobody is pricing trapped dollars. Verifying that was worth doing; it is not worth money.
2. **The earnings engine is a policy rate, not a moat.** Half the bank’s earning assets are Egyptian government paper (loan-to-deposit ratio **52.2%**). The **33.5%** return on equity *is* the carry. Net interest margin already fell from **8.88%** in 1Q to **8.36%** in 2Q — 52 basis points in one quarter — while the central bank runs an explicit disinflation path (July CPI 14.9%, target 7% ± 2). You cannot model margin down and return-on-equity flat and call the difference compounding.
3. **The strongest single reason to stay out is a contract, not a forecast.** CIB’s own deposit shelf advertises a **three-year floating certificate at 19.50% with a hard 17.50% floor**, minimum 1,000 EGP, effective 26 July 2026 ([cibeg.com](https://www.cibeg.com)). If the policy rate falls, the bank’s funding cost stops falling at 17.5% for three years — while the government paper on the other side of the balance sheet reprices down freely. Margin does not compress in a straight line; it compresses faster than linear, and the floor has already been sold. We do not know how much of the deposit base sits in these products, because it is not disclosed. That is the whole reason the gate is a print and not a price.

What we would own, if we owned it: a fairly-priced frontier carry wrapper at **about two times book**, paying a hard-currency premium over Egypt’s own sovereign debt. Labelled honestly, that is *carry*, not *edge*.

What the market believes

The market believes CIB earns more next year than this year. That is not an inference — it is on the tape: **forward P/E 6.20 against trailing 7.16** across eleven analysts, with a consensus target of **180.53 EGP**, roughly **30% above** the current price. The stock is **+54.7% over a year** and sits **3.9% below its 52-week high**.

Decoded, the consensus view is: rate cuts are net-good for an Egyptian bank. Cheaper money means loan growth off a 52% loan-to-deposit ratio, credit costs stay benign (non-performing loans **1.49%**, coverage **358%**), fee income compounds, and volume more than pays for the margin the bank gives back. The deposit mix moving to current-and-savings accounts (62% → 63%, +141bn EGP) is read as the franchise winning.

Two things the market does **not** appear to carry: the floored-liability convexity above, and any doubt about the durability of a return on equity that is mostly sovereign carry.

Why we might have edge

Honestly, one place only, and it is narrow.

The floored deposit contract. Both benches agree the street models earnings *up*. If the floor is material — say a third of term deposits — the margin path is worse than any published model, and the miss arrives on a specific date we can watch. This is a mechanism-level disagreement with consensus, sourced from the company's own retail rate page, which is exactly the shape a real edge takes: not “we think it's cheap,” but “here is a contract term the model doesn't contain.”

Two lesser points, stated at their true weight:

- **Valuation is cheaper than our own brief said.** The brief carried 2.27× book. The correct figure is **1.99×** (equity 238,403mn EGP ÷ 3.41bn shares = 69.9 EGP book per share). That is a correction of our error, not an insight about the market.
- **This is not a crowded name.** Average daily volume is ~5.78m shares, about \$16m/day — liquid at our size, and eleven analysts sit *above* the price rather than piled onto it. Being early is not the problem here; being right about the margin is.

Why it might be priced in

Most of it is, and we should say so plainly.

- The re-rate already happened. Up 55% in a year, four percent off the high. Whatever “Egypt is investable again” was worth, someone else has been paid it.
- The external anchor agrees with our conclusion. When the bond market, the equity tape and our thesis all say the same thing, we do not have a view — we have a summary.

- Two times book for a bank earning 33.5% on equity is not obviously cheap; it is roughly what that return is worth if you believe about a third of it is temporary. Which is what the multiple appears to say.
- The dividend that makes the carry look attractive is smaller than the headline: **4.38%** becomes about **4.16%** after Egypt's 5% withholding on non-resident dividends, before depositary fees we have not measured.
- And the honest floor on the whole trade: the country's own dollar debt yields 8.24%. Everything we might make above that is the premium for owning equity risk in the same jurisdiction, in a company whose largest asset is that same government's paper.

What could go wrong

Failure narrative 1 — the funding floor is bigger than we think, and we find out from the margin. The central bank keeps easing. Asset yields fall; funding cost stops at 17.5% and stays there for three years. Margin goes from 8.36% to the low sevens over four quarters, earnings fall while the street had them rising, and the multiple that looked like 6× forward turns out to have been 9× on real numbers. Loss: 30–40%. *Tripwire exists but lags* — we see it in the printed margin, one quarter after it has already happened. We cannot see it coming, because the share of deposits sitting in floored products is not disclosed in any document CIB publishes.

Failure narrative 2 — financial repression, by decree, with no precursor. NO MONITORABLE TRIPWIRE. A bank holding roughly half its earning assets in domestic government paper is, from the state's point of view, a captive buyer. The failure is not default; it is administrative — a directive on holdings, a reserve-requirement change that taxes the carry, a mandated lending quota at policy-set rates, a levy on "excess" bank profits. These arrive as a decision, not a process. There is no filing, no consultation period, no forward price that moves first. By the time it is a headline it is in the price. **Unknown-unknown class: sovereign-administrative action against a captive domestic balance sheet, in a jurisdiction that owes us no disclosure.** We have no instrument for this. We cannot build one. It is a reason to size small, permanently, and it is not covered by any sensor listed below — including the ones we are adding. A cousin of this class that we also cannot monitor: we still do not know what fraction of earning assets is government paper, because the quarterly release does not break it out. We are sizing a concentration we have never measured.

Failure narrative 3 — nothing breaks, and we still lose. Disinflation lands, the rate falls to 12%, return on equity mean-reverts to the high teens — which is a perfectly good bank — and the market re-rates a high-teens-ROE frontier bank from 2.0× book to 1.3×. That is –35% with no scandal, no devaluation, no miss we could have caught. We would have bought a cyclical peak and called it compounding. *Tripwire: return-on-equity trend and book-value growth across two consecutive prints; the signal is slow and we would ride a lot of it down.*

The reflexive and structural leg — our own footprint and our own rules.

- **Size vs. liquidity is fine locally and unverified where we would actually trade.** A 0.5% starter is nothing against \$16m/day on the Egyptian exchange. But we would trade the dollar

receipt, and the dollar lines here are demonstrably thin: the USD quote shows **+60.8%** over twelve months against a local **+54.7%** with the currency **down 4.5%** — arithmetically impossible, so at least one of those prints is an artifact of thin trading. On a thin receipt, our own fill can set the mark we then value the position against. Before any order we need the GDR's own daily volume, which nobody has pulled.

- **Our gate makes us a momentum buyer.** The rule says: buy only after a good margin print. That means we bid *into* the pop our own gate predicts — the exact behaviour we normally tell ourselves not to do. If we act on this, the entry must be staged over days after the print, not lifted on the day.
- **Our own default nearly put us in by rule.** Where a court produces only consensus-flavoured objections on a fairly-priced name, our doctrine says take a minimum starter rather than pass. The *only* thing standing between us and an automatic 0.5% here is the floored-deposit finding. If that finding is wrong — and its magnitude is unverified — we would be holding a position we entered by procedure rather than conviction.
- **It fights the rest of the book.** The tax reserve wants assets that go up when markets go down. A frontier bank levered to one country's policy rate is the opposite: it adds to the same risk, on the same days.

If this position loses money, the most likely reason will be that we paid two times book for a rate cycle and told ourselves it was a franchise — the carry retired on schedule, the funding floor held while asset yields fell, and no document we are entitled to read told us the size of it until the margin had already gone.

What we checked ourselves

Claim	How checked	Found	Confirmed?
"Egypt traps dollars — that's the mispricing"	Egypt sovereign USD yield index; sovereign bond index 1y return	8.24% yield, 301bp spread (27 Aug 2026); index +22.67% 1y	No — refuted, and refuted publicly before us. Our "edge" was already in the price
"The moat widened: deposit mix 62%→63%"	CIB's own certificate-of-deposit page vs. a year ago	CD tiers cut from 22/21/20% to "up to 19.50%"; mix rose as CDs got less attractive	Partly. The increment is a rate artifact. The level is not: mix was already 59% a year ago at a ~27% policy rate — that part is franchise
"33.5% ROE × retention = 24% book growth, indefinitely"	2Q26 earnings release	Margin 8.88% → 8.36% (−52bp in one quarter); loan-to-deposit 52.2%	No. Margin and ROE are the same variable. The compounding claim contradicts itself
Hard-currency equity premium of 5–9 points	Recomputed two ways	Using forward-implied currency depreciation: 4–8.5 points . Using	Unresolved. Both benches used a single currency path with

Claim	How checked	Found	Confirmed?
		realised 12-month depreciation (-4.51%): 9–14 points	no distribution around it. The honest answer is a wide band, 4–14 points, and neither bench earned the tighter one it quoted
“Trades at 2.27× book”	Share-count reconciliation	1.99× book (3.41bn shares, book value 69.9 EGP/share)	No — and our brief was 14% too expensive. The name is cheaper than we told ourselves
Retention rate 72%; ROAA 5.28%; cost:income 15.8%; “2Q ROAE 37.8%”	Line-by-line against the audited release	66.5%; 5.02% ; 15.4% ; the 37.8% figure does not appear in the release at all	No. Four numbers in our own brief were not in the document they were attributed to
Multi-year deposit certificates carry a rate floor	CIB retail rate page, live	3-year floating at 19.50%, hard floor 17.50% , 1,000 EGP minimum, effective 26 Jul 2026	Yes — this is the finding. Magnitude unverified: the share of deposits in floored products is not disclosed
“Fortress capital: 28.4% capital ratio, 1.49% bad loans”	Read against the balance-sheet concentration	Ratios are real, but assume local-currency government paper carries no capital charge — which we asserted and never sourced	Not confirmed. Capital strength and credit concentration may be the same asset counted twice. The regulator’s actual treatment is unverified
Is the dollar receipt dislocated from the local shares?	GDR \$2.69 vs local-equivalent \$2.76	2.5% discount — normal	Yes, and it’s a negative finding worth having. No free money here
Retail app health (the test of the deposit-franchise claim)	App Store, two app IDs	New app 3.5★ on 72 reviews , repeated launch-crash complaints, mid-migration	Mildly adverse. Not decisive

Where our own benches erred — stated plainly:

- **The red bench declared the app check “uncheckable” for a missing app ID.** The blue bench found both IDs in one search. That was a research failure written up as a coverage gap — the more damaging of the two, because it dressed “I didn’t look” as “it can’t be looked at.”
- **The red bench turned a 12.8% gap between share counts into a data defect.** It isn’t one: Egyptian law deducts an employee profit share before shareholder earnings per share, and there is minority interest in the consolidated number. There is no share mystery. Red reached roughly the right valuation band by the wrong route. This is the same mistake we made and corrected on another name earlier this month — reading an earnings-per-share denominator

difference as a missing-shares problem. It should have been caught by pattern, not by a second bench.

- **The red bench asserted a zero capital charge on government paper without sourcing it**, then built its capital-double-counting argument on top.
- **The red bench skipped three detector entries entirely** (China small-cap ramp pattern, common-control merger accounting, Up-C/tax-receivable structures — all correctly not-applicable, but unrun is not the same as clean). Blue closed them.
- **The blue bench replaced a forward-looking currency assumption with a backward-looking one** and reported the resulting doubling of the equity premium as a correction. Realised depreciation over the last twelve months is not an estimate of the next twelve. Blue's number is not more right than red's; it is differently wrong, and the deck records the range rather than picking a winner.
- **Our own tooling erred.** The automated misquote check fired on *both* benches with mutually contradictory accusations — telling red it had quoted 64.6% against a pack figure of 52.0%, and telling blue it had quoted 52.0% against a pack figure of 64.6%, when blue had in fact quoted 64.6% agreeing with red. Both benches independently reached +64.6% off the low from the local exchange rail, which is correct. The checker is broken and should not be trusted to adjudicate tape framing until it is fixed.
- **Nobody got a live price.** The broker's contract search was refused three times across both benches. Every price in this deck is a close, up to two days stale. That is now a standing infrastructure defect, not a one-off.

PROPOSED ENTRY BANDS

The courts say no entry. Both benches converge on it: the edge claim is dead, and there is one named, unresolved kill on the compounding term. So what follows are reopen conditions, not entry conditions.

Reference prices (closes, 26–27 Aug 2026): local COMI **139.28 EGP**; GDR CBKD **2.69 * ***; **impliedrate 50.5EGP/**. **Book value** 69.9 EGP/share** (\$1.39). Current multiple **1.99× book**.

Primary gate — the 3Q26 result, expected ~10 November 2026 (UNCONFIRMED, derived from cadence: 1Q released 11 May, 2Q released 21 July; no company announcement names a date and the investor-relations calendar was unreachable this session).

Reading	Action
Net interest margin $\geq$ 8.30% <i>and</i> deposit mix flat-to-falling	Reopens a starter, maximum 0.5% of the book , unlevered, entered in the band below. Labelled carry, not edge
Net interest margin 8.00–8.29%	No position. Re-court after the following quarter
Net interest margin $<$ 8.00% , or mix still rising	Flat, and the file closes. The floored-deposit mechanism is confirmed and the compounding case is gone

If the gate passes — entry band. Buy only at or below the pre-print reference, $\leq 139.28 \text{ EGP} / \leq \2.69 , staged across at least three sessions beginning no earlier than the second session after the print. No order resting into the print itself. No chasing a post-print gap; if it opens above the band, we missed it and that is fine.

Add band. A second 0.25% only at $\leq 122.3 \text{ EGP} / \leq \$2.42 (1.75 \times \text{book})$, and only if the *next* margin print is also $\geq 8.30\%$. Never on price alone.

Trim / exit, if a position exists. - Any single quarter with margin $< 8.00\%$ → exit in full, regardless of price. - Return on equity printing below **25%** on a rolling basis → exit; the carry has retired. - Price at $\geq 180 \text{ EGP}$ (street's target, $\sim 2.6 \times \text{book}$) with margin still falling → trim to half. That combination is the market paying us for a compounding story the numbers stopped supporting. - The currency devaluing more than 10% in a quarter → reassess immediately; do not average down into it.

Sizing. Maximum **0.5%** of the book at entry, **0.75%** ever, unlevered, inside the frontier sleeve cap. The small size is not timidity about the margin — it is the only defence available against failure narrative 2, which has no sensor.

Catalyst dates. - **~10 Nov 2026** — 3Q26 results. *Unconfirmed*. Must be verified against the company's investor-relations calendar before anything is armed to it. - **Central bank rate meetings** — the schedule is the single most important calendar for this name and **we have not pulled it**. It must be sourced from the central bank directly before the file advances. - **FY26 audited accounts (~Mar 2027)** — the first document that could disclose government securities as a share of earning assets, and possibly the deposit breakdown by product.

The current alert is to be cancelled. The armed alert at **\$2.20** is 18% below the market, and the GDR essentially only gets there in an Egyptian sovereign or currency shock — the precise event that blows out the 8.24% sovereign yield and breaks the government-paper carry generating the returns. At **\$2.20** the stock is $1.59 \times \text{book}$, and it is there because the thesis is dead. The alert fires an invitation to buy exactly when we should not. Disarm it.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 2.54 (deck-provisional: GDR $> 8\%$ below the local COMI line at a 50.5 EGP/USD rate - fungibility dislocation check; recompute th)
- dated pack CBKD|2026-11-10: CBKD: 3Q26 results - cadence-derived from 11 May and 21 Jul releases; no company announcement names it (date confirmed=False)

What remains unverified

- **Live prices.** Everything here is a close, up to two days old, because the broker connection was refused three times.

- **The share of deposits sitting in floored certificates.** The single number that would size or kill the central finding. Not disclosed anywhere we have looked.
- **Government securities as a share of earning assets.** Not broken out in the quarterly release. We are asserting a concentration we have not measured.
- **The regulator's capital treatment of local-currency government paper.** Red assumed no capital charge; nobody sourced it. Without it, the "capital strength and credit concentration are the same asset" argument is a hypothesis.
- **The equity premium.** 4–8.5 points or 9–14 points depending on which currency assumption you use; neither bench justified its choice.
- **Egyptian local-currency 10-year yield at 22.87%** — carried in the brief, never verified.
- **Depository fees on the GDR,** against a net dividend yield of about 4.16%.
- **The screen's "+168% over three years in dollars."** One year is verified on the local exchange only; three years is not, and the dollar price lines are demonstrably unreliable here.
- **Daily volume in the GDR itself** — we know the local line is liquid; we do not know the instrument we would actually buy.
- **The 3Q26 print date and the central bank meeting calendar.** Both derived, neither confirmed.

Primary sources: [CIB 2Q26 earnings release, 21 Jul 2026](#) · [CIB certificate-of-deposit rates — 19.50% floating, 17.50% floor](#) · [Egypt sovereign USD yield index — 8.24%, 27 Aug 2026](#) (*retrieved via proxy after a 403*) · [EGX:COMI tape and consensus](#) · [Egypt 5% non-resident dividend withholding](#)

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